Morgan Stanley | RESEARCH

UPDATE

July 23, 2026 12:29 AM GMT

Topsports | Asia Pacific

Nike's Channel Reset Raises Lose-Lose Risk; Move to EW

WHAT'S CHANGED

Topsports International Holdings Ltd (6110.HK)	From	To
Rating	Overweight	**Equal-weight**
Price Target	HK$3.60	**HK$1.67**

Nike's move to take back online distribution creates major uncertainty for its retail partners. With online and offline channels deeply intertwined, successful separation has few precedents. Topsports is most exposed after over a decade as Nike's largest mono-brand store operator in China.

Reduced relevance in Nike's Chinese ecosystem: Nike's takeover of an online channel that generated 22% of Topsports' F26 revenue leaves the retailer more exposed to a structurally pressured offline network, while much of its online investment risks is becoming stranded. More importantly, weaker distributor economics could trigger a negative feedback loop: lower retailer investment and channel reach weaken Nike's brand momentum and Chinese operations – in turn further pressuring Topsports' traffic, store productivity, and procurement. Adidas and smaller brands may cushion the impact, but cannot quickly replace Nike's scale.

Good intent, painful transition: Nike (NC) has a valid strategic rationale to address chronic promotions and pricing inconsistency. Tighter control could ultimately restore brand equity, lifting the industry profit pool. Yet Chinese consumers are conditioned to current discount levels. Raising effective ASP without a meaningful product and brand upgrade risks sharp volume and share loss, especially amid fierce competition. Wholesale still represents ~55% of Nike Greater China's revenue and 65-70% of retail GMV (our est.), making a near-term lose-lose outcome for retailers and the brand plausible, even if the strategy proves wise over time.

Earnings estimates rebased; downgrade to EW: We cut EPS estimates 20%/44%/38% for F27/F28/F29. We now forecast revenue down 14% in both F27 and F28, with net profit down 21% in each year. GPM should recover as online falls in the mix and discounting narrows, but SG&A deleverage more than offsets the benefit. Working capital release supports cash flow, yet mainly reflects revenue contraction. Dividend payout risk also rises – management may choose to preserve liquidity. Hence, we reduce our target P/E to 11x from 15x, while rolling our valuation base forward to F28E, to capture a full realization of the impact.

Where upside could come from: Greater Nike financial support for retailers; faster Topsports GPM rebound and broader industry discount discipline; a successful Nike brand reset shifting China from push to pull; or eventual fine-tuning of the channel strategy. Topsports could also deepen partnerships with Adidas and emerging premium brands, leveraging its national network and local operating capabilities.

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Topsports International Holdings Ltd (6110.HK, 6110 HK)

China/Hong Kong Consumer | China

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	HK$1.67
Up/downside to price target (%)	15
Shr price, close (Jul 22, 2026)	HK$1.45
52-Week Range	HK$3.50-1.34
Sh out, dil, curr (mn)	6,201
Mkt cap, curr (mn)	US$1,147
EV, curr (mn)	US$1,124
Avg daily trading value (mn)	US$6

Fiscal Year Ending	02/26	02/27e	02/28e	02/29e
EPS (Rmb)**	0.20	0.16	0.13	0.15
Revenue, net (Rmb mn)	25,740	22,008	18,970	19,572
EBITDA (Rmb mn)**	1,920	1,547	1,188	1,378
Net income (Rmb mn)**	1,265	995	783	952
P/E**	13.5	7.8	9.9	8.2
P/BV	2.0	0.9	0.9	0.9
ROE (%)	14.0	11.5	9.1	11.0
Div yld (%)	10.1	12.8	10.1	12.3

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Impact on Topsports

Nike's online exit is a business structure reset, not merely a channel loss

The direct revenue exposure is large, and the second-order impact cannot be overlooked: Topsports generated Rmb5.7bn, or 22% of F26 revenue, from Nike sales on online platforms. Topsports has historically operated Nike stores, inventory, pricing, e-commerce, and livestreaming as an integrated system. Removing online authorization therefore not only eliminates a major revenue pool, but also reduces the traffic, inventory flexibility, and store-based digital sales supporting the offline network.

This is the key downside highlighted in our prior report: removal of store-based livestreaming via Douyin can push a good amount of stores below break-even and ultimately reduce Nike's physical reach. In particular, Douyin has been the key growth driver to lift Topsports' online sales mix from the low teens (%) pre-Covid to 35-40% in F26. However, we think Nike could choose to subsidize Topsports to maintain the footprint for the key doors.

The impact will likely extend beyond Nike online sales: We assume that Nike online revenue declines 36% y/y in F27, reflecting sales through January-February 2027, including CNY, before falling to zero in F28. Nike offline and other revenue also declines from Rmb8.0bn in F26 to Rmb6.3bn by F28, reflecting weaker traffic, more conservative procurement, and more store closures. The spillover may initially affect other brands as well, as Topsports' e-com shops and livestreaming operations rely on multi-brand traffic. We therefore project revenue from Adidas (covered by Edouard Aubin) will be down 2% in F27 before recovering 6% in F28 and 5% in F29 as Topsports reallocates resources toward Adidas and other partners. Even with this substitution, group revenue remains 24% below F26's level by F29e.

Exhibit 1: Topsports revenue by brand

	FY26	FY27e	FY28e	FY29e	Revenue FY29e vs. FY26
Total Revenue	25,740	22,008	18,970	19,572	-24%
Nike	13,667	10,250	6,281	6,281	-54%
Nike - Online Platforms	5,663	3,610	-	-	
Nike - Offline & Others	8,004	6,640	6,281	6,281	
adidas	8,663	8,507	8,986	9,439	9%
Others	3,410	3,251	3,702	3,851	13%
Y/Y					
Total Revenue	-5%	-14%	-14%	3%	
Nike	-12%	-25%	-39%	0%	
Nike - Online Platforms		-36%	-100%		
Nike - Offline & Others		-17%	-5%	0%	
adidas	11%	-2%	6%	5%	
Others	-8%	-5%	14%	4%	

Source: Morgan Stanley Research Estimates

A further footprint and productivity reset looks unavoidable. We forecast Topsports' average GFA to decline 11% in F27 and 10% in F28, with end-period stores falling to 3,760 and 3,460, respectively.

Sales/sqm declines 5% and 8% over the same periods. Of note, the improvement in total retail sales per sqm during F24-26 was primarily supported by stronger online sales growth; removing that contribution exposes the underlying deleverage of the offline stores, with lease ratio potentially going higher.

Exhibit 2: Topsports: Total GFA

(k sqm)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027e	FY2028e	FY2029e
Total GFA (MSe) - Average	974	1,072	1,149	1,204	1,193	1,147	1,072	953	853	772	749
Y/Y growth	10%	10%	7%	5%	-1%	-4%	-7%	-11%	-11%	-9%	-3%

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Topsports: Retail sales per sqm

(Rmb k/spm)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027e	FY2028e	FY2029e
Total retail sales per sqm - Average	30	27	27	22	19	22	21	24	22	21	22
Y/Y growth		-8%	-2%	-18%	-13%	13%	0%	9%	-5%	-8%	6%

Source: Company data, Morgan Stanley Research estimates

Gross margin recovery will not offset operating deleverage: We think a lower proportion of online and reduced discounting will lift gross margin from 38.0% in F26 to 39.2% in F27 and 40.2% in F28. However, we expect SG&A ratio to rise to 34.4% and 36.4%, driving operating margin down to 5.2% and 4.2%. We forecast net profit declining 21% in both F27 and F28.

Working capital release provides a cushion, but dividend payout may fall: Lower procurement owing to Nike's channel reset and inventory liquidation should support cash in the near term. However, this cash release primarily reflects business contraction. Greater strategic uncertainty could also encourage management to preserve more cash, raising downside risk to the dividend payout despite the stock's high headline yield. We now assume 100% payout for F27-29 vs. ~135% payout in the past two years.

Exhibit 4: Topsports and Nike Greater China revenue growth by quarter

Topsports FY	Nike FY	Topsports	Nike G. China (c.c.)	Wholesale	Direct	1) Store	2) Online
FY2Q23 (Aug)	FY1Q23 (Aug)	-3%	-13%	-23%	-2%	0%	-5%
FY3Q23 (Nov)	FY2Q23 (Nov)	-18%	6%	8%	4%	-1%	9%
FY4Q23 (Feb)	FY3Q23 (Feb)	-12%	1%	-1%	3%	9%	-11%
FY1Q24 (May)	FY4Q23 (May)	22%	25%	30%	19%	32%	-12%
FY2Q24 (Aug)	FY1Q24 (Aug)	-1%	12%	14%	10%	12%	6%
FY3Q24 (Nov)	FY2Q24 (Nov)	12%	8%	19%	-4%	16%	-22%
FY4Q24 (Feb)	FY3Q24 (Feb)	2%	6%	12%	-1%	6%	-13%
FY1Q25 (May)	FY4Q24 (May)	-6%	7%	15%	-2%	-6%	8%
FY2Q25 (Aug)	FY1Q25 (Aug)	-12%	-3%	10%	-16%	-4%	-34%
FY3Q25 (Nov)	FY2Q25 (Nov)	-6%	-11%	-15%	-7%	-8%	-4%
FY4Q25 (Feb)	FY3Q25 (Feb)	1%	-14%	-18%	-11%	-6%	-20%
FY1Q26 (May)	FY4Q25 (May)	-6%	-20%	-24%	-16%	-6%	-31%
FY2Q26 (Aug)	FY1Q26 (Aug)	-7%	-10%	-9%	-12%	-3%	-27%
FY3Q26 (Nov)	FY2Q26 (Nov)	-8%	-16%	-15%	-18%	-5%	-36%
FY4Q26 (Feb)	FY3Q26 (Feb)	-2%	-10%	-13%	-5%	1%	-21%
FY1Q27 (May)	FY4Q26 (May)	-12%	-17%	-19%	-14%	-9%	-25%

Source: Company data. Topsports' quarterly revenue growth is Morgan Stanley Research estimates based on the company reported range.

Impact on China's Sportswear Market

Nike China: Better pricing and brand position, but near-term share loss likely

Nike's objective is strategically rational: Persistent online discounting and pricing inconsistency have weakened brand positioning in China and placed substantial pressure on full-price offline stores. Nike has already prioritized full-price sell-through over growth and tightened online supply, but the limited pricing improvement appears to have prompted a more radical channel reset.

However, channel control cannot substitute for consumer demand: Chinese consumers have become accustomed to elevated promotional intensity. Raising effective ASP without a corresponding improvement in product innovation, brand heat, and storytelling is likely to result in volume and market share loss, particularly amid weak consumption and intense competition. Nike's own realized pricing may improve, and its action could reduce industry-wide promotional intensity. However, we won't overlook the risk that some competitors remain promotional as they seek to capture Nike's displaced demand.

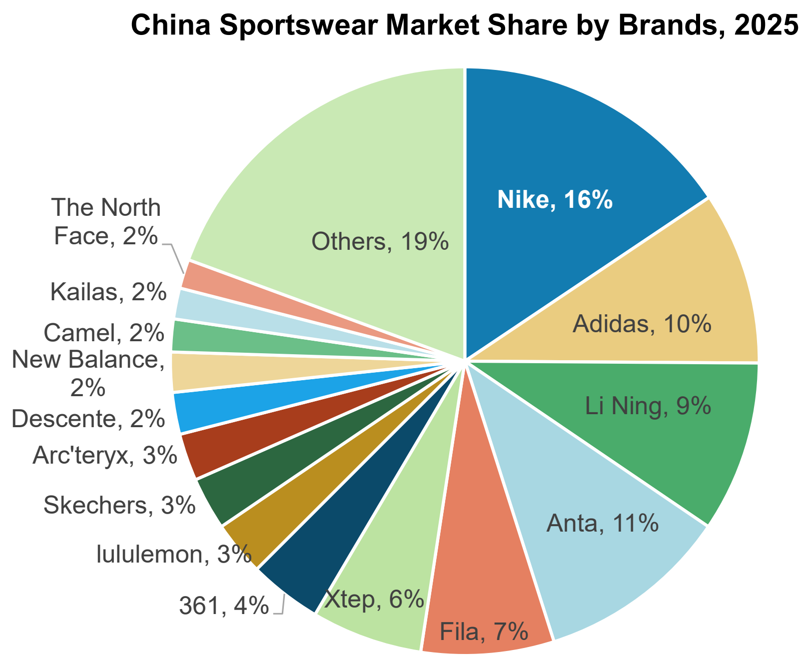
There is a risk of a negative feedback loop: Lower distributor economics can lead to more cautious ordering from distributors, reduced store investment and weaker consumer reach, which in turn places further pressure on sales. This resembles the consequences of Nike's earlier US wholesale retrenchment, but China is not a simple replay. In the US, Nike reduced wholesale exposure while its own digital channel was growing rapidly. In China, the current action is primarily intended to repair pricing after online and direct channels remained highly promotional. Nike is therefore removing distributor capacity before consumer demand has clearly shifted toward its own channel, increasing execution risk.

As a reference, Foot Locker's Nike purchases fell from 75% of total purchases in F20 to 59% in F24, while its online sales accounted for only 17-18% of sales in F22-24 – well below Topsports' 35-40% exposure to online channels. The risk is therefore more material in China, where wholesale represents ~55% of Nike Greater China's revenue and an estimated 65-70% of retail GMV.

Retailers' resources will be reallocated: Topsports and other large retailers are likely to redirect working capital, store space, and management resources toward brands offering stronger long-term business commitment. If lack of store-based e-commerce forces retailers to close Nike's stores, competing brands may also gain access to better retail locations. Topsports remains one of China's most capable sportswear operators, with strong tier 1-2 cities coverage, digital infrastructure, and local merchandising expertise. More niche and premium brands may therefore seek to use its platform to accelerate offline expansion.

The longer-term outcome could still be positive, but requires a return to a "pull" model: We think Nike can rebuild share in China only if stricter channel discipline is paired with compelling product launches, stronger localized storytelling, and renewed scarcity around key franchises. Before 2021, Jordan, Dunk Low, Air Force 1, and high-profile collaborations created sufficient consumer pull to support premium pricing. A similar product and brand recovery could ultimately improve Nike's full-price mix and expand the industry profit pool. In our view, however, the market share reshuffle is likely to precede the demand recovery. To Topsports and retailers, we think Nike's financial support, stronger product momentum or subsequent fine-tuning of the channel strategy represent the upside risks.

Exhibit 5: China – sportswear market share



Source: Euromonitor, Morgan Stanley Research. Note: Nike share includes Jordan, ANTA share includes ANTA Kid.

Financial Summary

Exhibit 6: Topsports: Financial summary

Income Statement	FY25	FY26	FY27e	FY28e	FY29e
Rmbmn, YE Feb					
Revenue	**27,013**	**25,740**	**22,008**	**18,970**	**19,572**
Cost of Sales	(16,630)	(15,955)	(13,371)	(11,340)	(11,616)
Gross Profit	**10,383**	**9,785**	**8,637**	**7,630**	**7,956**
Selling & Distribution Exp.	(8,042)	(7,413)	(6,649)	(5,989)	(6,102)
Admin Exp.	(996)	(993)	(922)	(910)	(945)
Other Income and Gains, Net	149	78	78	61	46
Operating Profit	**1,494**	**1,456**	**1,144**	**792**	**955**
Net Financial Income	65	51	70	162	206
Profit Before Tax	**1,560**	**1,507**	**1,214**	**954**	**1,161**
Income Tax Expenses	(275)	(242)	(218)	(172)	(209)
Net Profit	**1,285**	**1,265**	**995**	**783**	**952**
Adjusted Net Profit	**1,285**	**1,265**	**995**	**783**	**952**
OP	1,494	1,456	1,144	792	955
Adjusted OP	1,494	1,456	1,144	792	955
Adjusted EBITDA	1,965	1,920	1,547	1,188	1,378
Basic EPS	0.21	0.20	0.16	0.13	0.15
Diluted EPS	0.21	0.20	0.16	0.13	0.15
Recurring EPS	0.21	0.20	0.16	0.13	0.15

Balance Sheet	FY25	FY26	FY27e	FY28e	FY29e
Cash	2,587	2,074	4,763	5,855	6,028
Inventories	6,004	5,486	4,396	3,666	3,755
Trade Receivables	752	1,339	613	528	545
Amounts Due Receivables	-	-	-	-	-
Other Receivables	646	776	646	646	646
Total Current Assets	**10,986**	**10,741**	**11,485**	**11,762**	**12,042**
Right-of-use Assets	1,819	1,414	1,499	1,361	1,188
PP&E	541	438	106	149	420
Long-term Receivables	207	152	207	207	207
Intangible assets	1,046	1,031	1,003	982	961
Other Non-Currents	303	292	292	292	292
Bank Deposits	-	-	-	-	-
Total Non-Current Assets	**3,916**	**3,326**	**3,108**	**2,991**	**3,068**
Total Assets	**14,903**	**14,067**	**14,593**	**14,753**	**15,109**
Short Term Borrowings	2,130	1,966	2,130	2,130	2,130
Trade Payables	343	403	276	234	240
Amounts Due Payables	-	-	-	-	-
Tax Payable	268	210	210	210	210
Other Payables	941	1,132	757	642	657
Other Current Liabilities	814	704	1,004	1,137	1,278
Total Current Liabilities	**4,496**	**4,415**	**4,377**	**4,353**	**4,515**
Deferred Tax Liabilities	226	211	211	211	211
Lease Liabilities	1,121	819	1,384	1,568	1,762
Total Non-Current Liabilities	**1,347**	**1,030**	**1,594**	**1,778**	**1,972**
Total Liabilities	**5,844**	**5,445**	**5,971**	**6,131**	**6,487**
Total Equity	**9,059**	**8,622**	**8,622**	**8,622**	**8,622**
Total Equity and Liabilities	**14,903**	**14,067**	**14,593**	**14,753**	**15,109**

Cash Flow	FY25	FY26	FY27e	FY28e	FY29e
Rmbmn, YE Feb					
OP Before W/C	3,207	3,261	3,203	2,929	3,349
Change in W/C	892	108	1,388	658	(85)
Tax Paid	(344)	(300)	(218)	(172)	(209)
Payment for Lease Liabilities	(1,241)	(1,208)	(1,319)	(1,491)	(1,689)
Operating Cash Flow	**2,514**	**1,860**	**3,053**	**1,924**	**1,366**
Capex	(373)	(401)	(24)	(316)	(651)
Deposits Placement	-	-	-	-	-
Deposits Proceeds	-	-	-	-	-
Interests Received	75	80	98	191	234
Other Investing Activities	1	76	26	1	101
Investing Cash Flow	**(298)**	**(1,136)**	**(1,583)**	**(1,712)**	**(2,103)**
Net Borrowings	1,410	632	2,347	1,808	2,024
Net Amounts Due	-	-	-	-	-
Interests Paid	(16)	(94)	(133)	(146)	(162)
Dividends Paid	-	-	-	-	-
Other Financing Activities	(2,979)	(1,776)	(995)	(783)	(952)
Financing Cash Flow	**(1,585)**	**(1,238)**	**1,219**	**879**	**910**
Net Change in Cash	**631**	**(514)**	**2,690**	**1,092**	**173**
Cash (beginning)	1,956	2,587	2,074	4,763	5,855
Cash (end), net of overdraft	2,587	2,074	4,763	5,855	6,028
Free Cash Flow	**2,141**	**1,459**	**3,029**	**1,608**	**715**

Ratio Analysis	FY25	FY26	FY27e	FY28e	FY29e
Growth (%)					
Sales	-7%	-5%	-14%	-14%	3%
Gross Profit	-14%	-6%	-12%	-12%	4%
OP	-44%	-3%	-21%	-31%	21%
Adjusted OP	-44%	-3%	-21%	-31%	21%
Adjusted EBITDA	-38%	-2%	-19%	-23%	16%
Net Profit	-42%	-2%	-21%	-21%	22%
Adjusted Net Profit	-42%	-2%	-21%	-21%	22%
Margins (%)					
Gross Margin	38.4%	38.0%	39.2%	40.2%	40.6%
SG&A/Sales	33.5%	32.7%	34.4%	36.4%	36.0%
OP Margin	5.5%	5.7%	5.2%	4.2%	4.9%
Adj OP Margin	5.5%	5.7%	5.2%	4.2%	4.9%
Adj EBITDA Margin	7.3%	7.5%	7.0%	6.3%	7.0%
Adj Net Profit Margin	4.8%	4.9%	4.5%	4.1%	4.9%
Return (%)					
Average ROA	9%	9%	7%	5%	6%
Average ROE	14%	14%	12%	9%	11%
ROA Ending	9%	9%	7%	5%	6%
ROE Ending	14%	15%	12%	9%	11%
Efficiency					
Avg Days Trade Receivable	14	15	16	11	10
Avg Days Inventory	135	131	135	130	117
Avg Days Trade Payable	8	9	9	8	7
Cash Cycle	141	138	142	133	119
Asset Turnover (x)	1.81	1.83	1.51	1.29	1.30
Valuation					
P/E	6	6	8	10	8
P/BV	0.6	0.7	0.7	0.7	0.6
EV/EBITDA	5	5	6	8	7
FCF Yield	28.6%	19.5%	40.4%	21.5%	9.5%
Div yield	23.2%	23.2%	13.3%	10.4%	12.7%

Source: Company data, Morgan Stanley Research, E=Morgan Stanley Research estimates

Estimate Changes and Valuation

Exhibit 7: Topsports: Summary of changes

	New			Old			Change		
(Rmb mn)	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e	FY27e	FY28e	FY29e
Sales	**22,008**	**18,970**	**19,572**	**25,095**	**25,159**	**26,390**	**-12%**	**-25%**	**-26%**
Gross Profit	8,637	7,630	7,956	9,555	9,608	10,156	-10%	-21%	-22%
Operating Expenses	(7,571)	(6,899)	(7,047)	(8,183)	(8,119)	(8,494)	-7%	-15%	-17%
Operating Income	1,144	792	955	1,449	1,568	1,750	-21%	-49%	-45%
Core Operating Profit	1,066	731	908	1,371	1,490	1,662	-22%	-51%	-45%
Adjusted Operating Profit	1,144	792	955	1,449	1,568	1,750	-21%	-49%	-45%
Net Profit	**995**	**783**	**952**	**1,246**	**1,385**	**1,525**	**-20%**	**-44%**	**-38%**
Adjusted Net Profit	**995**	**783**	**952**	**1,246**	**1,385**	**1,525**	**-20%**	**-44%**	**-38%**
EPS (basic; Rmb)	0.16	0.13	0.15	0.20	0.22	0.25	-20%	-44%	-38%
Recurring EPS (basic; Rmb)	0.16	0.13	0.15	0.20	0.22	0.25	-20%	-44%	-38%
No. of Stores (EOP)	3,760	3,460	3,460	4,010	3,860	3,910	-6%	-10%	-12%
GFA Growth (Avg) (%)	-10.5%	-9.5%	-3.0%	-8.6%	-5.3%	-0.1%	-1.9%	-4.2%	-2.9%
Gross Margin	39.2%	40.2%	40.6%	38.1%	38.2%	38.5%	1.2%	2.0%	2.2%
SG&A to Sales	34.4%	36.4%	36.0%	32.6%	32.3%	32.2%	1.8%	4.1%	3.8%
Operating Margin	5.2%	4.2%	4.9%	5.8%	6.2%	6.6%	-0.6%	-2.1%	-1.8%
Net Margin	4.5%	4.1%	4.9%	5.0%	5.5%	5.8%	-0.4%	-1.4%	-0.9%
Tax Rate	18.0%	18.0%	18.0%	18.0%	18.0%	18.0%	0.0%	0.0%	0.0%

Source: Morgan Stanley Research, E=Morgan Stanley Research estimates

We cut our price target to HK$1.67 from HK$3.6: We roll our valuation base forward to F28E (Feb 2028) to capture full realization of the Nike channel reset. We reduce our target P/E to 11x from 15x, which implies dividend yield is 9%. The lower target P/E reflects much weaker earnings visibility with online business adjustment. Previously, our mid-teens forward P/E was supported by an implied 6-7% dividend yield, when the dividend payouts were at 120-130%. Now, with substantial business restructuring ahead, we think the bull-bear outcome will be wide, for which market would require higher risk premium. Also, we expect company to cut dividend payout from the prior ~130% to 100% for FY27e-28e, despite a surge in working capital inflow due to a reduction in procurement from Nike.

We reduce bull and bear case values similar to the magnitude of the cut in the base case value/price target.

If Nike emerges stronger after the channel reshuffle, other brands may follow suit by tightening DTC control, further weakening Topsports' strategic position and bargaining power in China.

Exhibit 8: Topsports: Valuation

P/E valuation	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027e	FY2028e	FY2029e	FY26-28e CAGR	FY27-29e CAGR
Base Case Scenario										
Revenue	31,877	27,073	28,933	27,013	25,740	22,008	18,970	19,572	**-14%**	**-6%**
% YoY	*-11%*	*-15%*	*7%*	*-7%*	*-5%*	*-14%*	*-14%*	*3%*		
Net Profit	2,447	1,837	2,213	1,286	1,267	995	783	952	**-21%**	**-2%**
% YoY	*-12%*	*-25%*	*20%*	*-42%*	*-1%*	*-21%*	*-21%*	*22%*		
Adjusted Net Profit	2,447	1,837	2,211	1,285	1,265	995	783	952	**-21%**	**-2%**
% YoY	*-12%*	*-25%*	*20%*	*-42%*	*-2%*	*-21%*	*-21%*	*22%*		
NPM	7.7%	6.8%	7.6%	4.8%	4.9%	4.5%	4.1%	4.9%		
EPS - Rmb	0.39	0.30	0.36	0.21	0.20	0.16	0.13	0.15		
EPS - HKD	0.47	0.35	0.43	0.25	0.25	0.19	0.15	0.18		
Target P/E	4	5	4	7	7	9	11	9		
Base Value						HK$	**1.67**			
Bull Case Scenario										
Revenue	31,877	27,073	28,933	27,013	25,740	23,329	21,056	22,116	**-10%**	**-3%**
% YoY	*-11%*	*-15%*	*7%*	*-7%*	*-5%*	*-9%*	*-10%*	*5%*		
% Higher than Base						6%	11%	13%		
Net Profit	2,447	1,837	2,213	1,286	1,267	1,095	924	1,142	**-15%**	**2%**
% YoY	*-12%*	*-25%*	*20%*	*-42%*	*-1%*	*-14%*	*-16%*	*24%*		
% Higher than Base						10%	18%	20%		
NPM	7.7%	6.8%	7.6%	4.8%	4.9%	4.7%	4.4%	5.2%		
EPS - Rmb	0.39	0.30	0.36	0.21	0.20	0.18	0.15	0.18		
EPS - HKD	0.47	0.35	0.43	0.25	0.25	0.21	0.18	0.22		
Target P/E	6	8	6	11	11	13	15	12		
Bull Value						HK$	**2.7**			
Bear Case Scenario										
Revenue	31,877	27,073	28,933	27,013	25,740	20,908	17,073	18,593	**-19%**	**-6%**
% YoY	*-11%*	*-15%*	*7%*	*-7%*	*-5%*	*-19%*	*-18%*	*9%*		
% Lower than Base						-5%	-10%	-5%		
Net Profit	2,447	1,837	2,213	1,286	1,267	846	626	761	**-30%**	**-5%**
% YoY	*-12%*	*-25%*	*20%*	*-42%*	*-1%*	*-33%*	*-26%*	*22%*		
% Lower than Base						-15%	-20%	-20%		
NPM	7.7%	6.8%	7.6%	4.8%	4.9%	4.0%	3.7%	4.1%		
EPS - Rmb	0.39	0.30	0.36	0.21	0.20	0.14	0.10	0.12		
EPS - HKD	0.47	0.35	0.43	0.25	0.25	0.16	0.12	0.15		
Target P/E	2	3	3	4	4.5	6.7	9	7		
Bear Value						HK$	**1.1**			

Source: Morgan Stanley Research, E=Morgan Stanley Research estimates

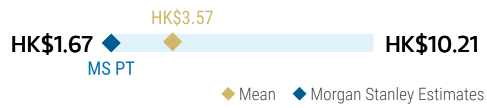
Risk Reward – Topsports International Holdings Ltd (6110.HK)

Nike's Channel Reset Raises Lose-Lose Risk - EW

PRICE TARGET HK$1.67

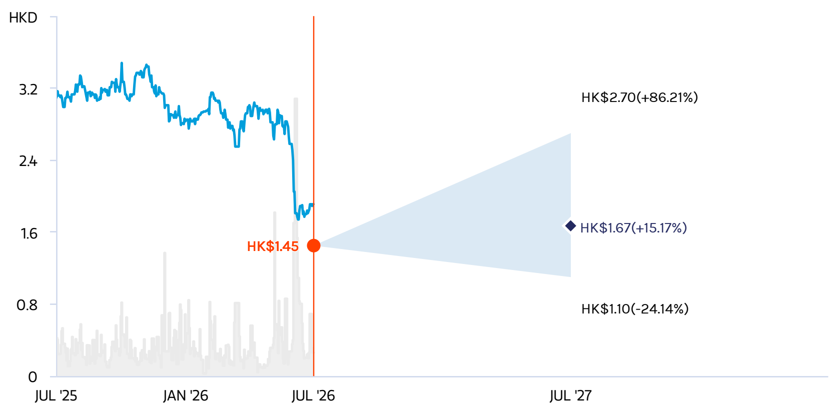
Base case, target P/E of 11x on our F28 EPS estimate. Its revenue and earnings will be under pressure in F27-28 after Nike's online channel reshuffle in Greater China. Our price target implies ~9% dividend yield.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



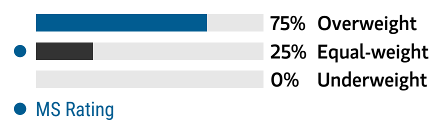
Key: Historical Stock Performance · Current Stock Price · Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Nike's move to take back online distribution creates major uncertainty for its retail partners.
- Topsports is most exposed after over a decade as Nike's largest mono-brand store operator in China.
- We now forecast revenue down 14% in both F27 and F28, with net profit down 21% in each year.
- GPM should recover as online falls in the mix and discounting narrows, but SG&A deleverage more than offsets the benefit.
- Working capital release supports cash flow, yet mainly reflects revenue contraction.
- Dividend payout risk also rises – management may choose to preserve liquidity.
- Our target P/E is 11x F28e. On this basis, we find valuation insufficiently attractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE HK$2.70

15x F28e bull case EPS

Stronger sales recovery: We think sales momentum recovery in Nike, adidas, and other brands could pick up faster. Additional upside could emerge if Nike partially fine-tunes its restrictions on e-commerce , or if adidas/other brands accelerate digital-channel expansion We assume revenue and earnings are 11% and 18% higher than in the base case in F28, supported by: 1) stronger and faster recovery; 2) fewer retail discounts; and 3) OPM expansion from economies of scale and cost optimization.

BASE CASE HK$1.67

11x F28e base case EPS

High dividend yield; challenging operation environment: We expect sales and earnings to decrease 14% and 21% in F28. We expect GPM to improve via channel mix change. We think the SG&A ratio will remain tight in F27-28.

BEAR CASE HK$1.10

9x F28e bear case EPS

Slower-than-expected growth for the principal brands: We assume Nike and adidas lose more market share to domestic brands and niche/premium international brands, coupled with a weaker-than-expected macro climate. We assume a >25% earnings decline in F28, based on 1) market share loss; 2) weaker sales growth as consumer sportswear demand slows; 3) lower GPM caused by deeper retail discounts amid increasing industry competition; and 4) OPM erosion stemming from operating deleverage.

Risk Reward – Topsports International Holdings Ltd (6110.HK)

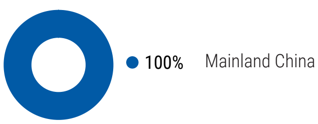
KEY EARNINGS INPUTS

Drivers	Feb 2026	Feb 2027e	Feb 2028e	Feb 2029e
Total GFA Growth (MSe) (%)	(11.1)	(10.5)	(9.5)	(3.0)
Sales per sqm (average) growth (%)	9.5	(5.0)	(8.0)	6.0
Mono-brand Stores Sales Growth (%)	(4.8)	(8.8)	(9.6)	(1.1)
E-commerce Growth (%)	7.2	6.0	6.0	6.0

INVESTMENT DRIVERS

- Store closure and network optimization pace
- Level of discounting
- Partnership with new brands
- Quarterly results for Nike and adidas

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- Greater Nike financial support for retailers
- Faster GPM rebound; broader industry discount discipline
- Successful Nike brand reset or eventual fine-tuning of the channel strategy.
- Deeper partnerships with adidas and emerging premium brands

RISKS TO DOWNSIDE

- More pressure on Nike and adidas from Chinese and niche/premium brands
- Continued decline in offline traffic
- Industry remaining highly promotional

OWNERSHIP POSITIONING

Inst. Owners, % Active 48%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Feb 2028e

	Morgan Stanley Estimates	Mean	
Sales / Revenue (Rmb, mn)	18,969.7	25,764.5	28,950.3
EBITDA (Rmb, mn)	1,188	2,661.4	4,142.9
Net income (Rmb, mn)	783	1,399.1	1,855.0
EPS (Rmb)	0.1	0.2	0.3

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Global Stock Ratings Distribution

(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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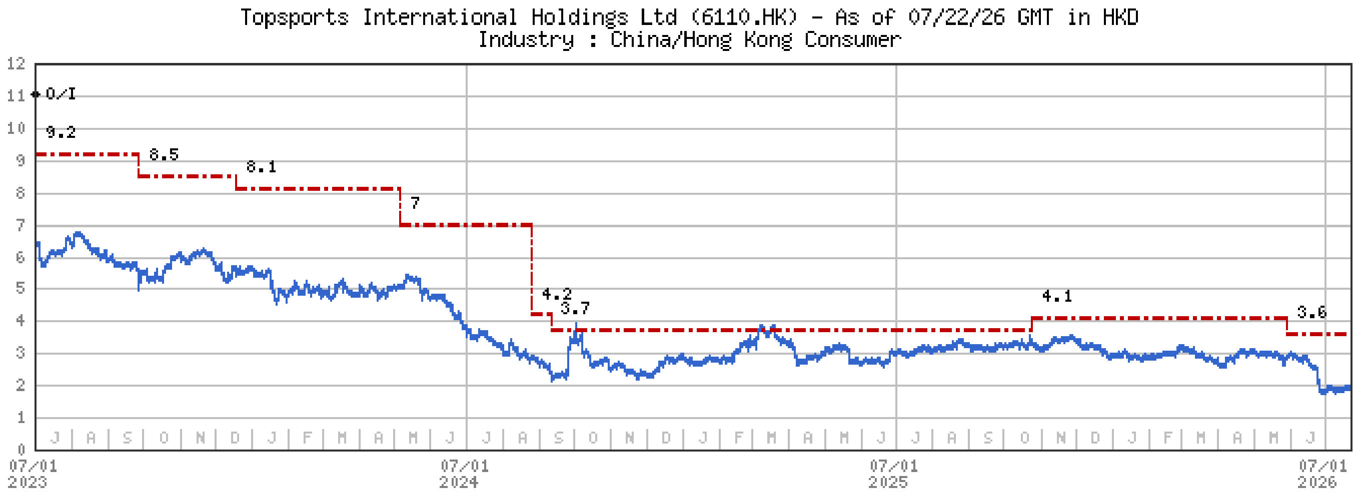
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/I

Price Target History: 1/26/21 : 15.3; 10/27/21 : 13.8; 12/22/21 : 11.9; 4/19/22 : 9.3; 6/1/22 : 8.4; 10/21/22 : 6.7; 10/27/22 : 7.6; 2/28/23 : 9.6; 5/25/23 : 9.2; 9/27/23 : 8.5; 12/18/23 : 8.1; 5/6/24 : 7; 8/26/24 : 4.2; 9/11/24 : 3.7; 10/24/25 : 4.1; 5/29/26 : 3.6

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK$75.90
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK$4.85
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.08
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.33
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK$29.60
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK$15.05
Hengan International Group (1044.HK)	E (05/06/2021)	HK$23.62
Li Ning (2331.HK)	O (10/09/2019)	HK$14.85
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK$57.20
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK$159.30
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb58.49
Samsonite Group (1910.HK)	O (06/15/2020)	HK$13.44
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.68
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK$1.25
Topsports International Holdings Ltd (6110.HK)	E (07/22/2026)	HK$1.45
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK$7.61
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.09
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb39.03
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb100.80
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK$50.05
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb55.70
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK$12.33
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.41
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb54.33
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb36.45

Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK$31.82
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK$11.34
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.55
Laopu Gold (6181.HK)	O (10/20/2025)	HK$397.20
Super Hi (HDL.O)	E (01/14/2025)	US$13.02
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb44.92
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb97.55
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK$6.69
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US$11.00
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK$18.32
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK$24.04
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb44.59
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb130.80
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK$112.40
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb40.86
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb21.92
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK$21.32
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,305.00
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb86.80
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK$94.90
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb84.80
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK$33.50
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb39.44
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK$42.90
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb125.00
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb25.00
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK$11.48
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK$45.72
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.84
Uni-President China (0220.HK)	E (07/25/2025)	HK$7.32
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK$3.48
WH Group (0288.HK)	O (02/24/2025)	HK$8.35
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb74.75
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb40.83
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb12.55
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb27.38
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US$43.42
ZJLD Group (6979.HK)	E (02/13/2026)	HK$8.03
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK$18.50
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK$5.77
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb38.68
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb29.72
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb33.06
Shenzhou International Group Holdings (2313.HK)	O (07/13/2017)	HK$42.78
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK$14.05
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK$129.90
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK$13.52

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* Historical prices are not split adjusted.